

Activity 1 — Airbnb — Diagnosing Why a Method Alone Does Not Save a Business

Course Fast-Track Innovations with Agile Design Thinking and Generative AI (GenAI)

WSQ Course Code TGS-2024049781

Topic Topic 01: Foundations of Design Thinking, Agile, and Generative AI for Problem-Solving

Duration 45 minutes · Group size: 3–5 participants

Tools Padlet Classroom Board, ChatGPT or Microsoft Copilot

Learning Outcome Addressed

LO1 · A1 · K1 · K2 — Integrate design thinking methodologies and agile principles to drive organisational innovation.

The Real Case

Airbnb, 2009. The company was weeks from failing, stuck at roughly \$200 revenue a week. The founders noticed a pattern in the New York listings: the photographs were terrible, taken on cheap phone cameras in bad light. Rather than run an A/B test or ship a feature, Paul Graham told them to fly to New York and meet the hosts. They rented a camera, went door to door, and replaced the amateur photos with professional ones. Within a week revenue roughly doubled. It was not a scalable act and it was not in any sprint backlog — but it was the insight that unlocked the business, and it later became a funded, scaled service.

Your Scenario

Your team is the innovation unit of a regional marketplace platform whose bookings have flatlined. Analytics show visitors browse and leave. The engineering team wants to A/B test the checkout button. You suspect, as Airbnb did, that the real problem is not on the screen at all.

What You Will Do

Learners analyse the Airbnb turnaround to separate the three disciplines — Design Thinking (finding the right problem), Lean (validating the solution is worth building) and Agile (building it right) — and explain why starting with Agile alone would never have surfaced the photography insight.

What you will produce

A completed Padlet board mapping the Airbnb story onto Design Thinking / Lean / Agile, plus a group

position statement on what the marketplace platform should do first.

Step-by-Step Instructions

1. Trainer creates the Padlet classroom and shares the classroom code and QR with the class.
2. Join the Padlet board at <https://alfredang.github.io/padlet/> using the classroom code and your display name.
3. Read the Airbnb case in the Learner Guide (Activity 1) with your group of 3–5.
4. In the section 'Right Problem', post what the real problem was and the evidence for it.
5. In the section 'Right Solution', post how the founders validated cheaply before scaling.
6. In the section 'Build It Right', post what Agile delivery would look like once the insight is proven.
7. Use ChatGPT to stress-test your position: paste your problem statement and ask it to argue the opposite case.
8. Post your group's one-sentence recommendation for the marketplace platform, then Like the two strongest posts from other groups.

Discussion Questions

1. Which of the three disciplines — Design Thinking, Lean or Agile — actually produced the photography insight, and why could the other two not have produced it?
2. The founders did something deliberately unscalable. When is 'do things that don't scale' the right innovation strategy, and when is it an excuse to avoid rigour?
3. Map the story onto the Double Diamond. Where does 'fly to New York and meet the hosts' sit — Discover, Define, Develop or Deliver?
4. Your engineers want to A/B test the checkout button. Write the one question you would ask them to expose whether they are solving the right problem.
5. How would you have used GenAI here — and what part of this story could GenAI NOT have done for you?

How You Know You Are Done

Your board shows the story correctly split across all three disciplines, and your recommendation names a discovery action before any build action.

Debrief — What the Room Should Conclude

The photography insight came from Empathise, not from analytics. Agile would have optimised the wrong thing faster — a better checkout button on a listing nobody wanted to book. Lean's contribution was the cheap validation (a handful of listings, one week, one rented camera) before any engineering investment. The trap the class should name out loud: teams reach for Agile because it feels productive, and end up building the wrong thing right. GenAI could have clustered the review complaints and drafted interview guides in minutes, but it could not have sat in a host's living room and noticed the light. Empathy is still human work; AI compresses the

analysis around it.